BEHAVIORAL ECONOMICS

# Nudge

*Improving Decisions About Health, Wealth, and Happiness*

**Richard H. Thaler and Cass R. Sunstein · 2008**

A Nobel-winning economist and a legal scholar show how small changes in the way choices are presented can help people make better decisions about their health, money and happiness, without taking any options away.[1,2,3]

WHY READ IT

- The book that brought behavioral economics into everyday policy and design[2]
- Memorable real examples, from cafeterias to pension plans[2,4]
- The Final Edition adds sludge, climate and the pandemic[5,6]

GET THE BOOK



**Nudge** by Richard H. Thaler and Cass R. Sunstein

Yale University Press; updated as *Nudge: The Final Edition* (Penguin, 2021), 2008. At your local bookshop, your library, or as an audiobook.

The book ↗ Richard H. Thaler ↗

A free guide inspired by *Nudge* by Richard H. Thaler and Cass R. Sunstein. Not affiliated with the author or publisher.

Please read the book

THE BIG IDEA

# There is no neutral design

Someone always decides how options are arranged: what comes first, what's the default, what takes effort. Thaler and Sunstein call that person a choice architect. Since design always influences choice, they argue for designing on purpose to help people while keeping every option open, which they call libertarian paternalism.[2,4]

THREE LESSONS

1 **Humans, not Econs**

Economic models assume perfectly rational Econs. Real Humans think with a fast Automatic System and a slow Reflective System, and make predictable mistakes.[2,7]

2 **Defaults are powerful**

Many people stick with whatever happens if they do nothing. Automatic enrolment in retirement savings is the book's classic example.[2,8]

3 **Beware of sludge**

The Final Edition adds the opposite of a nudge: friction that makes good choices harder, like long forms and hard-to-cancel subscriptions.[5,6]

A free guide inspired by *Nudge* by Richard H. Thaler and Cass R. Sunstein. Not affiliated with the author or publisher.

Please read the book

THE FRAMEWORK

# NUDGES[9]

The authors' checklist of choice-architecture tools. Each letter is one lever.[9]

### 1 iNcentives

*Make costs visible*

People respond to incentives they actually notice.[9]

**Try:** Show the real cost at the moment of choice.

### 2 Understand mappings

*Connect choices to outcomes*

Help people see what each option means for things they care about.[9]

**Try:** Translate features into results.

### 3 Defaults

*What happens if you do nothing*

Set the default to what most people would choose on reflection.[2,9]

**Try:** Make the good option automatic.

### 4 Give feedback · Expect error

*Design for real people*

Tell people how they're doing, and design so common mistakes are hard to make, like a cash machine that returns your card first.[9]

**Try:** Add a forcing function for the usual slip.

### 5 Structure complex choices

*Simplify when options multiply*

As choices grow, help people narrow them down.[9]

**Try:** Offer filters for what matters most.

A free guide inspired by *Nudge* by Richard H. Thaler and Cass R. Sunstein. Not affiliated with the author or publisher.

Please read the book

FROM THE BOOK

# Tools to try

## Save More Tomorrow

A program by Thaler and Shlomo Benartzi, described in the book.[2,10]

1. Commit now to save more in the future.
2. Tie each increase to your next pay rise.
3. Let it happen automatically, and stay free to opt out.

## A sludge audit

Applying the Final Edition's sludge chapter to your own life.[5,6]

1. Pick a good habit you keep skipping.
2. Time each step it takes.
3. Remove or prefill one step.
4. Add one step of friction to a habit you want less of.

A free guide inspired by *Nudge* by Richard H. Thaler and Cass R. Sunstein. Not affiliated with the author or publisher.

Please read the book

MAKE IT YOURS

# Try it this week

1. List five recurring choices: savings, subscriptions, your phone's home screen, snacks, calendar invites.
2. For each, write what happens if you do nothing.
3. Change two defaults to what you'd choose on reflection.
4. Run a sludge audit on one good habit.

REFLECT

*Where are you living with a default you never chose?*

*Whose choices do you shape, at home or at work?*

**Try it in Sedi:** Make good choices the default in Sedi too: set up a daily Routine in Timely, and use the trash for anything you never act on.

A free guide inspired by *Nudge* by Richard H. Thaler and Cass R. Sunstein. Not affiliated with the author or publisher.

Please read the book

READ THE BOOK

## 👉 Nudge

Richard H. Thaler and Cass R. Sunstein · Yale University Press; updated as *Nudge: The Final Edition* (Penguin, 2021) · 2008

**The book:** penguinrandomhouse.ca/books/690485/nudge-by-richard-h-thaler-and-cass-r-sunstein/9780143137009

**Richard H. Thaler:** faculty.chicagobooth.edu/richard-thaler

**ISBN:** 9780300122237

This guide only scratches the surface. The book has the research, the stories and the nuance behind every idea here. Buy it from an independent bookshop, borrow it from your library, or listen to the audiobook.

A NOTE FROM ME

I'm not affiliated with Richard H. Thaler and Cass R. Sunstein or the publisher, and this guide isn't sponsored or endorsed by them. I've learned a lot from this book, so I'm sharing what I took from it, for free, in case it helps you too. Everything here is my own summary, in my own words. The good ideas are the author's; any mistakes are mine.

*The maker of Sedi*

SOURCES

1. Thaler, Richard H., and Cass R. Sunstein. *Nudge: Improving Decisions About Health, Wealth, and Happiness*. Yale University Press, 2008. Part 1 Humans and Econs; ch. "Choice Architecture".
2. Wikipedia, "Nudge (book)". en.wikipedia.org/wiki/Nudge_(book)
3. The Nobel Prize, "Richard H. Thaler: Facts", 2017. nobelprize.org/prizes/economic-sciences/2017/thaler/facts
4. getAbstract, *Nudge* summary. getabstract.com/en/summary/nudge/10445
5. Thaler, Richard H., and Cass R. Sunstein. Preface to *Nudge: The Final Edition*, in *Behavioral Scientist*. behavioralscientist.org/thaler-sunstein-preface-to-nudge-the-final-edition
6. Society of Professional Economists, review of *Nudge: The Final Edition*. spe.org.uk/reading-room/book-reviews/nudge-the-final-edition
7. SuperSummary, *Nudge* summary. supersummary.com/nudge/summary
8. CommonWealth Beacon, "Nudge offers a blueprint for coaxing people to do the right thing". commonwealthbeacon.org/uncategorized/nudge-offers-a-blueprint-for-coaxing-people-to-do-the-right-thing
9. Thaler, R. H., Sunstein, C. R., & Balz, J. P. "Choice Architecture" (2010), the NUDGES checklist. mycourses.aalto.fi/pluginfile.php/1767811/course/section/222382/Choice%20Architecture.pdf
10. Thaler, R. H., & Benartzi, S. (2004). Save More Tomorrow. *Journal of Political Economy*, 112(S1), S164–S187.